Solara Active Pharma Sciences Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Makes active drug ingredients (APIs, the medicine molecule that goes into a pill) for generic drug companies, mostly in regulated markets like the US and Europe. Two parts: a 'base' business of niche, higher-margin APIs from four FDA-approved plants, and a loss-making ibuprofen business where it was once the world's largest maker. Part of the Strides group (Arun Kumar is founder-promoter).

Number	Value	What it means
Market cap	Rs 3,241 cr	What the market says the whole company is worth.
Q2 FY27 revenue	Rs 418 cr	Sales for the quarter to Sep 2026, up 33% on a year ago; best quarter in about five years.
Q2 FY27 EBITDA	Rs 77 cr at 18.4%	Operating profit more than doubled; margin up from 11% a year ago.
Q2 FY27 profit	Rs 28.5 cr	Against a loss of about Rs 10 cr a year ago.
Net debt	About Rs 500 cr (1.8x EBITDA)	Down from Rs 614 cr in March, mostly from rights-issue money; was 3.2x a year ago.
Stock P/E	65.7x	Pricey on current profit; the market is betting on the turnaround holding.

2. Concall coverage

Quarter	Date	Transcript read?
Q3 FY24	14 Feb 2024	Yes
Q4 FY24	29 May 2024	Yes
Q1 FY25	22 Jul 2024	Yes
Q2 FY25	21 Oct 2024	Yes
Q3 FY25	24 Jan 2025	Yes
Q4 FY25	15 May 2025	Yes
Q1 FY26	25 Jul 2025	Yes
Q2 FY26	5 Nov 2025	Yes
Q3 FY26	6 Feb 2026	Yes
Q4 FY26	15 May 2026	Yes
Q1 FY27	23 Jul 2026	Yes
Q2 FY27	16 Oct 2026	Yes, latest call read in full ★

Twelve consecutive quarterly calls, Feb 2024 to Oct 2026, about three years. Older calls (2018-2021) that Screener couldn't download fall outside this window.

Latest concall highlights: Q2 FY27 (call held 16 Oct 2026)

- Best quarter in about five years: revenue Rs 418 cr (+33%), EBITDA Rs 77 cr (+118%), profit Rs 28.5 cr against a year-ago loss.
- Base business revenue Rs 327 cr (+37%), above Rs 300 cr for a third quarter running, at a 23.6% EBITDA margin; regulated markets about 78% of sales.
- Ibuprofen almost broke even (loss was about Rs 9 cr in Q1) on better prices and volumes, but management says it's mostly the West Asia crisis and a rival's supply problem, and may not last.
- The ibuprofen strategic review, promised by Q2, needs "12 weeks" more. Options: turn the plant multi-product or find a buyer.

- Second of five promised DMF filings this year done (none were filed in the three years before). Gross margin in the base business dipped to about 50% on West Asia input costs.

Business mix & capacity

Domestic vs export: Regulated markets (US, Europe etc.) about 78% of revenue; the company is overwhelmingly export-led. Strides, a related party, buys about a quarter of sales.

Capacity use: About 70% of capacity in use (May 2026). Pondicherry ibuprofen plant sells only about 3,000 of 10,000-12,000 tonnes of ibuprofen capacity; the Vizag plant is mothballed.

3. Earning Trigger thesis

The trigger is a turnaround: after the FY24 collapse (fire, Covid inventory write-offs, ibuprofen price war), the promoter reset the business, a new CEO and CFO came in from February 2025, and the niche base business is now growing fast at a mid-20s margin while debt falls. The open questions are ibuprofen (still structurally oversupplied) and whether input-cost pressure eases.

Trigger	What management said	Evidence so far	Time horizon	Strength
Base business growth	Profitable growth, flat opex so extra gross margin flows to EBITDA	Revenue +37%, EBITDA margin 23.6%	Now	Strong: three quarters above Rs 300 cr
Debt reduction	Net debt about Rs 440 cr by March 2027	About Rs 500 cr, 1.8x EBITDA	FY27	Strong
Ibuprofen fix	Strategic review, then repurpose or sell	Near breakeven on macro help; review delayed	Early 2027	Weak: decision keeps slipping
New DMF filings	Five in FY27	Two filed	FY27	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	"we have been able to reduce net debt to close to INR500-odd crores from INR614-odd crores" (16 Oct 2026)
New business	No	
Margin up	Yes	Overall EBITDA margin expanded to 18.4% from 11% a year ago (16 Oct 2026)
New management	No	CEO Sandeep Rao and CFO Sarat Kumar joined Feb 2025, outside this quarter
New capacity	No	
Big orders	No	
Turnaround	Yes	"Q2 FY27 has been our best quarter in about five years"; ibuprofen close to breakeven (16 Oct 2026)
Promoter buying	No	Rights issue calls were paid in May 2026, but no fresh promoter buying stated

The single concrete driver: The niche base API business, now about four-fifths of sales, growing fast at a mid-20s EBITDA margin on a flat cost base while the loss-making ibuprofen line shrinks toward breakeven.

3c. Margin bridge

EBITDA margin is 18.4% against 11% a year ago. Higher base-business volumes on a flat cost base and an ibuprofen loss that nearly vanished did it, partly offset by West Asia input costs that cut base gross margin to about 50%. Management guides flattish costs, so the base gain looks lasting, the ibuprofen part one-off (lasting).

3d. Management changes

Sandeep Rao (MD and CEO) and Sarat Kumar (CFO) took over in February 2025 from Poorvank Purohit and Arun Kumar Baskaran. Their first moves: separate reporting for ibuprofen, cost control, debt cuts and restarting DMF filings.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Feb 2024	Back to 20-22% EBITDA by end FY25	FY25 EBITDA margin 16.5%	Missed
May-Jul 2024	FY25 revenue Rs 1,400-1,500 cr, EBITDA Rs 230-290 cr	Revenue about Rs 1,300 cr; guidance cut in Jan 2025	Missed
Jul 2024	Vizag back on stream as multi-purpose plant in Q1 FY26	Still mothballed	Missed
May 2025	FY26 revenue +10%, EBITDA +15-20%	FY26 hit by Mangalore shutdown, ibuprofen losses; Q4 strong	Partly
Jul 2025 onward	Net debt near Rs 450 cr by Q1 FY27	Rs 479 cr in June, about Rs 500 cr in Sep	Partly
May-Jul 2026	Ibuprofen review outcome in H1 FY27 / Q2	Pushed by 12 weeks	Missed
FY27	Five DMFs	Two done	Too-early

Narrative drift: Under the old team the guidance was loud and missed. The new team since February 2025 gives fewer numbers and has delivered on cost and debt, and its biggest promise (fix ibuprofen) has quietly moved twice. The CRAMS and polymers carve-out talked up in 2025 is on hold.

5. Bottom line

Durable earning trigger? → YES

The turnaround is in the numbers: three quarters of base business above Rs 300 cr, a five-year-best quarter, and debt down sharply. Ibuprofen's breakeven is borrowed from a supply shock, so the durable part is the base business, not the whole.

Management consistent? → MAYBE

The old team badly missed its FY25 guidance. The current team has been steadier on costs and debt, but its ibuprofen decision has slipped twice and earlier plans like the Vizag retrofit and the CRAMS carve-out were dropped or parked.

6. Checkpoints for next quarter

- Ibuprofen review outcome announced within the promised 12 weeks
- Base business revenue stays above Rs 300 cr a quarter
- Net debt keeps falling toward Rs 440 cr by March

This is not investment advice. Do your own due diligence.